

to be suggesting that the US business has started delivering results, especially its focus on its specialty portfolio,” says Navroz Mahudawala, Managing Director of Candle Partners, an investment banking firm.

Its Ebitda margin of 26.5 per cent in FY23, feels Mahudawala, is impressive considering it has been spending a high 5.5-6 per cent of its sales on R&D historically, which could rise to 7-8 per cent to support the specialty portfolio efforts. (Sun Pharma also has four NCE—new chemical entity—molecules in its pipeline, which would continue to need support.) He says the Ebitda margins are expected to sustain going forward. “The company is at a very high base level in Indian domestic formulations (around ₹13,600 crore in revenues) and, hence, to sustain double-digit growth in the India business would be challenging. But even a 7-9 per cent growth in India would aid double-digit growth at the overall level for the business,” he adds. “At this high base, it is expected to generate over \$1 billion of free cash flows every year, which would aid in taking more aggressive calls in M&A as well as spend more on R&D.”

Sun Pharma CFO C.S. Muralidharan explains that the company’s proactive strategy of investing in the specialty business—while continuing to focus on other growth drivers—has resulted in the improvement of its margin profile and return ratios. “Continuous efforts on cost optimisation, workforce productivity, better product mix and higher specialty sales have driven the expansion of operating Ebitda margins,” he says.

IN 2022-23, SUN PHARMA RECORDED ITS HIGHEST-EVER CONSOLIDATED REVENUE OF ₹43,279 CRORE AND NET PROFIT OF ₹8,474 CRORE

In a recent report, brokerage firm Motilal Oswal Financial Services said that Sun Pharma is well-positioned for growth due to several factors. There is an increasing pace of prescription for drugs such as Ilumya and Winlevi; the company is making efforts to expand its specialty offerings; it has achieved stronger-than-average growth in the domestic formulation segment; and despite a challenging macroeconomic situation, Sun Pharma has been able to maintain its sales run-rate for US generics. “Sun Pharma has successfully transitioned from concentrating solely on domestic branded generics to incorporating US generics or exports to emerging markets/rest of the world (ROW) markets. These moves have served as key growth drivers for the

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BACK IN VOGUE

Sun Pharma’s stock has started outperforming the benchmark BSE Sensex in the past year

